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First Republic Gets $30 billion Rescue From Biggest U.S. Banks; Group of Banks Swoop in to Save First Republic; 11 Banks Deposit $30 billion to Save FRC; SVB Financial Group Files for Chapter 11 Bankruptcy; SVB Financial Funded Debt About $3.3 billion in Unsecured notes; Ortiz: 10- 20 percent of Illegal Migrants Got Away At the Border Completely Undetected; Rep. Gimenez Pushes Ortiz for Answers on "Gotaways"; 69 Border Patrol Terror Watch-List Encounters so Far this Year; Battling President

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Biden's Border Crisis; Xi Jinping Visiting Moscow Next Week

MARIA BARTIROMO, FOX BUSINESS NETWORK ANCHOR: Yes, it's a sign of what's going on the policies there.

NANCY TENGLER, LAFFER TENGLER INVESMENTS CEO AND CIO: Yes.

BARTIROMO: It all starts with policy.

TENGLER: It does.

BARTIROMO: Nancy and Lee stay right there. The next hour of "Morning with Maria" begins right now.

(BEGIN VIDEO CLIP)

LARRY MCDONALD, THE BEAR TRAPS REPORT FOUNDER: Our 21 Lehman systemic risk indicators that look at equity and credit, pulling to the one of the highest probabilities of a crash in the stock market, looking out 60 days.

NANCY LAZAR, PIPER SANDLER CHIEF GLOBAL ECONOMIST: not unique in economic history. You need to put some slack into the economy. Not just to keep prices down, but also to tame wage inflation on a sustained basis.

MCDONALD: It's going to be a really bad have kind of like an SNL 1980s type crisis. The market probably drops 20 percent to 30 percent from here, because at the end of the day, Maria, we're trading in 19 times earnings. And we have bank - we have like literally four banks that have blown up in the last week.

STEPHANIE POMBOY, MACROMAVENS PRESIDENT: We're borrowing at 4 percent, back before the Fed started raising rates. That rate as of last night was just under 9 percent. So that is a massive, obviously, it's more than a doubling of the prevailing interest rate. And there's more than a trillion dollars in debt that needs to be refinanced this year.

THOMAS HOENIG, FMR KANSAS CITY FEDERAL RESERVE PRESIDENT AND CEO: If you have interest rates and monetary policy at zero rates and massive increases in money, you're going to have interest - you're going to have interest rates staying low,

LAZAR: We would rather have the Fed continuing to tighten. Push the economy into a recession, or to squeeze out this inflation. Our call is for the fourth quarter.

POMBOY: Everyone is focused on SVB as sort of an idiosyncratic issue. But I don't think that's true. I think it reflects this credit story and the hit from higher rates on the ability to service debt going forward.

(END VIDEO CLIP)

BARTIROMO: All right. A montage of some of our guests this week in an incredible week. Today is the final deadline

or the deadline the FDIC has put in place for banks to bid on the failed Silicon Valley Bank and Signature Bank.

We've got new details, now after 11 banks are rescuing First Republic with a $30 billion deposit yesterday, JPMorgan Chase, Citigroup, Bank of America and Wells Fargo contributed $5 billion. Smaller banks contributed $2.5 billion and even smaller $1 billion. All coming up with $30 billion in deposits for First Republic.

Joining me now to break down the banking crisis is Piper Sandler's Chief Investment Strategist, Michael Kantrowitz; the Bear Traps Report Founder and New York Times bestselling author, Larry McDonald; and Laffer Tengler Investments, CEO and Chief Investment Officer, Nancy Tengler. Great to have all of you to react here.

Michael, first kick us off, give us your take on where we stand today. Markets are actually up on the week after all of this volatility and concern over the banking system.

MICHAEL KANTROWITZ. PIPER SANDLER CHIEF INVESTMENT STRATEGIST: Yes, good morning, Maria, and to the rest of you, good morning. You know, we think the acute period of this banking crisis fear is moving behind us. And this is not, in our opinion, a revisiting of what happened in 2008. It's happening for very different reasons. It'll have different consequences and we're seeing different solutions.

You know, the Fed, the FDIC and the Government and Treasury have provided facilities to backstop these problems. As you mentioned, other banks have also stepped in to help other areas of the financial markets. And so I think investors, while they have - in my opinion, have overshot in terms of how much they expect and how quickly they expect the Fed to cut rates. I don't think this is the big one. And that markets are going to be falling spiraling out of control in the very near term.

I'm more concerned about the lag effect of all of this tightening, moving beyond the banking system in the corporate profits and employment. And that's where historically and very consistently where we see problems arise. So I think this is kind of a bump in the road, one heck of a big bump, and certainly an unexpected bump, but not really what ultimately takes the market down.

BARTIROMO: Yes, I mean, look, Larry, we're looking at some headlines here. And the impact of all of this. First Republic Bank this morning is down 13 percent. It just got a $30 billion infusion of cash deposits from these major banks and the stock is still down 13 percent.

Let me also point out that Silicon Valley Bank, financial, the overall parent has now commenced its Chapter 11 filing, so it's gone bankrupt. On the upside the Bank Term Funding Program appears to have been successful. Banks pulled nearly 12 billion out through Wednesday. 11 banks putting 30 billion in First Republic.

Give us your sense of the solutions here from the bank bailout to $30 billion, to the deposit bailout by regulators assuring that the deposits - all deposits are safe which to this Bank Term Funding Program. How do you assess where we are today after this week that was? Larry?

MCDONALD (via telephone): Well, we have a Federal Reserve that three weeks ago, four weeks ago told us that they were on a quantitative tightening path of $90 billion a month, right? So, so there was - they were preaching to the world, preaching, preaching, that they were tightening, and they were reducing the balance sheet, right. QT.

Now, they've in the last, like, three, four days, they put close to $300 billion. They basically - their balance sheet is expanding, again. It's mind blowing. So it's what - when you see that type of niche (ph) and deception from central bankers, that makes business owners and depositors, all investors very, very insecure, and that's why this rolling crisis, right?

You don't like very big - sorry fast, because what they're doing, they said X, Y and Z and they're doing the A, B and C.

BARTIROMO: Yes. And that's why "The Journal" editorial board this morning writes this, "While Yellen Assures Banks

Run", Larry. You know, she the first line of this editorial board Op-Ed says Janet Yellen offered more assurances Thursday that U.S. banks are safe and sound, and we doubt even the Treasury Secretary believes it. Certainly nobody else does.

The biggest American banks had to commit $30 billion on Thursday to rescue First Republic Bank, 15 years to the day since Bear Stearns collapsed. And yet, Larry, the stock is still down 13 percent right now.

MCDONALD (via telephone): Well think about the last six months that you're in - desperately sitting at home. You had the LDI, this pension crisis in London, October. Then you had this regional bank crisis and then you had Credit Suisse. So these are cockroaches - excuse my term, but these cockroaches are coming out of the carpets. Right? So you don't know as an investor, what's next? Because the truth is bleeding out one drop at a time. You can't possibly make investments with that - like, what's next? You told me.

BARTIROMO: Yes. Right. Well, I mean, look, Michael, what about that. You see, you know, Credit Suisse and its struggles? Can we see more bank failures and still believe that the economy and the banking sector are OK?

KANTROWITZ: Yes, and I think this is going to add confusion to a backdrop that's probably already confused investors more than ever in history with all the different cross currents going on around the world. And I think investors are - need to compartmentalize what's going on across the banking system.

We would not categorize what the Fed is doing now in terms of being the lender of last resort as QE ala 20 - QE 1, QE 2, QE 3. You know, the size of the balance sheet is $8 trillion. So far, it's up about $159 trillion, and the discount window, and the uptake on the new facility has been about $12 billion.

So the banking system is about $12 trillion - I'm sorry, $23 trillion in size. So these numbers are de minimis, compared to the size of the balance sheet, the size of the banking system and the size of what was actually QE.

So I think we need to compartmentalize, putting backstops in uninsured deposits in the banking system. And the reality that the Fed still believes they have wood to chop on inflation, we're expecting a 25 basis point rate hike, as we saw, the ECB just did 50. And so we have to compartmentalize these things.

It's not the Fed doing QE, cutting interest rates, which would bring down auto rates, consumer loan rates, credit card rates, et cetera. And so it's going to further confuse investors, but I wouldn't read it as QE like we know it in the past decade.

BARTIROMO: Well, I want to know what the lag impact is on all of these rate hikes, guys? Let's slip in a short break and then continue our conversation with Michael Kantrowitz, Nancy Tengler and Larry McDonald.

We are here live talking about a market that's down another 170 points right now. And the bank - Silicon Valley Bank has now filed for bankruptcy protection.

We'll look at the housing market as well. We've got housing data coming out next week. Fox Business' Jeff Flock in Pennsylvania with a live report.

You're watching "Mornings with Maria" live on Fox Business. We continue our conversation, next.

(COMMERCIAL BREAK)

BARTIROMO: Welcome back. The Silicon Valley Bank collapsed sending shockwaves throughout the housing market as well. Jeff Flock is in Pennsylvania this morning with the impact that he's seeing. Jeff, good morning.

JEFF FLOCK: Good morning to you from Philadelphia suburbs this morning. Yes, that outflow of capital from regional banks to the big banks, potentially having a big impact on developments like this one. Maybe you see construction going on here. And it's what's called the Ashbourne Meadows developments, single family homes 55 townhomes.

It surprised me just how much lending regional banks do in the housing market. Take a look at these numbers. 80 percent of commercial lending and 60 percent of residential lending is done by regional banks, not the big boys, that according to Goldman Sachs. And the NAHP has some real concerns. This is their statement Maria. "A follow on effect of the pressure on regional banks as well as continued fed tightening will be further constraints for acquisition development and construction loans for builders going forward."

We talked to a Miami realtor who says the effects of this are going to be felt sooner, rather than later.

(BEGIN VIDEO CLIP) .

JULIAN JOHNSON, MIAMI REALTOR: I think that definitely the capital outflows out of the regional banks into the big banks is going to cause a lot of liquidity issues in the smaller regional banks over the next coming days or weeks. And they're going to have insolvency issues as well. So they may not be making loans on a local level.

(END VIDEO CLIP)

FLOCK: And then, Maria, of course, the housing sector already under pressure because of increases in rates, although we just had a little downtick from 7 percent to 6.6 percent on the average 30 year, and from 6.22 percent to 5.9 percent on the 15. So that's good news. But, you know, there's still a lack of supply out there.

And if you look at pending home sales, as of last week, I think Redfin says, down 16 percent year-over-year, so housing, definitely under pressure, and this whole thing is not making it any better. Maria.

BARTIROMO: Yes, for sure. All right. Thanks very much, Jeff Flock. I'm back with my panel right now. Michael Kantrowitz, Larry McDonald and Nancy Tengler. And Nancy, so far, we've seen serious issues within tech, and some issues within real estate, just heard from Jeff Flock here. What else is hovering? What other areas do we need to be focused on? Because clearly, the banks that collapsed did not see the severity of those two real weak spots in this economy?

NANCY TENGLER, LAFFER TENGLER INVESTMENTS CEO AND CIO: Well, I think this is a time - you know, I agree with Michael, that the bank - the Fed's lending is de minimis maybe in comparison to all lending. But at the margin, it's been material. I just read report that last week lending facility - the discount window surged from 5 billion two weeks ago to 153 billion this this week. And then additional lending by the Fed was 318 billion, half of that went to secure deposits in the failing banks.

So at the margin, this creates a problem, I think, for the for the banking sector, and for the economy and for potentially Fed policy. So I hope that they will take this and use it as an opportunity to pause. The pause is not a pivot. We can still address inflation, but we want to get stability back in the banking sector.

But I do think, counterintuitively, you know, I've been talking about adding risk into your portfolios for six months. The NASDAQ is the only really bright star this year, and it's up again this morning. I think what it's telling us is that large cap companies, especially in the technology sector, that can deliver reliable earnings, will be a safe haven in an environment like this, because they can provide some stability to your portfolio.

And so we've been pretty pleased with that investment. And I would encourage, you know, all investors to be thinking about that. Because what we know is that during Volker's years, in a double dip recession environment of stocks were up 362 percent. So some of this negativity is already priced in. And the question will be, you know, how choppy it's going to be between now and the end of the year. But we're kind of optimistic, frankly,

BARTIROMO: Well, we're going to talk with Dan Niles about that, a long time investor in tech about what he's doing with his holdings. But I mean, Larry, you came on the show about a week ago and said, look, your work, including your conversations with large institutions, led you to believe the market was about to crash within 60 days. That is exactly what happened.

As soon as you said it, markets were nervous. And I want to know what you think about that? Is there more underneath the hood that we're not focused on? You know, Silicon Valley Bank was undone by its deposit clients, of course, it was a bad deposit structure. But all those venture capital companies needed the money, because they were seeing stress. Signature was undone partly because of commercial real estate issues. Do we know the extent of these issues right now?

MCDONALD (via telephone): Yes, so the market - if you've been in the market, in the NASDAQ, right, for two years, you're basically flat. So if you put - we discussed this a couple weeks ago. You put a million dollars in the market, two years ago, you're almost down actually. So that person is frustrated.

The average - so there's $73 trillion in the hands of the Boomers - the Baby Boomers, and the Gen X, so 73 trillion of wealth in the Boomers and the Gen X. And the Boomers - the oldest Boomer is 79 years old, right? When Lehman went down. The oldest Boomer was like 63. Now the oldest Boomer - Baby Boomer is 70, close to 80, right? So that person just got hit over the head with COVID, hit over the head with Lehman. You know, it just frustrated.

And now that we have this, right, we've got Credit Suisse, got all these uncertainties. That person's going to cash. I think he's going to put his money in in a treasury bill or some other asset for now and still the cloud of uncertainty gets relieved, that's why we go a lot lower.

And Nancy's point is OK. Sure. But that person has been through the wringer. And stocks probably go much lower than it's a good time to put to work.

BARTIROMO: And you said this week that you think the Federal Reserve is going to change its position as well. That we're going to see a cut in rates before July 4th.

MCDONALD (via telephone): Yes, the Fed - so think about tightening. We have a pivot in the sense that, when you promised the world three weeks ago, you're promising the world. This is the Federal Reserve's the largest central bank and the most powerful central bank on the planet. In two weeks ago, they were promising 75 basis points of additional rate hikes.

Now, if that's - that's probably gone, right. So that's an - that is a pivot. That's - like when you when you promise something, and then you don't deliver it, that's the pivot. The fact. OK, you don't - you don't even have to cut. But - so that uncertainty of that shift, I think - OK, they may be they do 25, I think they stopped. And then by the summer, you know, we definitely, we're going to get another at least 50 basis points of rate cut.

BARTIROMO: Yes, 50 basis points of rate cuts. Wow! Michael Kantrowitz, real quick, we got to jump. But you had a note to clients the other night. You said when the market identifies a problem, it becomes that problem. Don't fall for bear market rally. So should I sell this market here, down 208 on the futures?

KANTROWITZ: You know, I think Maria, I think the market is going to be bouncing back and forth for the next several months between soft landing and pivot hopes and recession and inflation fears. I think we're going to be in a sideways market until either we decidedly crushed inflation, or we decidedly have evidence rising unemployment claims have a hard landing. I'm in that camp.

And so we've recommended investors not overreact to what's going on here. Keep moving into higher quality stocks with good interest rate coverage, cash flow, and have a framework Don't be reactive. And the framework that we have tells us that we're going to see unemployment deteriorate later this year and that's when bad things are going to happen.

BARTIROMO: All right, Nancy Lazar yesterday said recession fourth quarter. Great panel, everybody. Thanks very much. We appreciate it.

Dow Industrial is down 207 right now we'll be right back.

(COMMERCIAL BREAK)

(BEGIN VIDEO CLIP)

REP. CARLOS GIMENEZ (R-FL): Suppose that we have 1.3 million getaways that we know of, what is your estimate of the people that we don't know about, that got away?

RAUL ORTIZ, BORDER PATROL CHIEF: My confidence level and that gotaway number continues to increase. Is it 100 percent? No, sir. At 385,000 gotaways so far this fiscal year, we continue to refine that number.

GIMENEZ: Chief I have limited time. I just needed a number. How much more do you think gotaway you know - that you don't know about?

ORTIZ: Probably be between 10 and 20 percent, sir.

GIMENEZ: More?

ORTIZ: Yes.

(END VIDEO CLIP)

BARTIROMO: Well, that was Florida Congressman Carlos Gimenez at the House Homeland Security Committee's field hearing in McAllen, Texas this week that happened on Wednesday. He was questioning the Border Patrol Chief Ortiz on the number of illegal migrants who have gotten away that we know of, and what would he expect on top of just the numbers we know of.

They remain completely unaccounted for. They are in this country. We don't know what their intentions are. But we know that they did not want to be apprehended. Congressman Carlos Gimenez joins me right now with more. Congressman, thanks very much for being here and for your leadership on this subject. Tell us why this is important for Americans to understand the gotaway part of this?

GIMENEZ: Well, those are folks that don't want to be apprehended. The majority of the migrants coming through, they actually follow signs, it takes them right to the Customs and Border Patrol agents. And they turn themselves in, knowing that in all probability, they're going to be allowed in the United States.

There's about - there's 1.3 million that we know of, and like the chief said, there's another 10 or 20 percent. I actually think that number is a little low. I think it's even higher than that. That the gotaway that don't want to don't want to be detected, and, and they gotaway. We don't know who they are. We didn't know where they came from. We didn't know where they are. And we certainly don't know what they're doing here or what their intentions are.

BARTIROMO: So there's another element to this, and that's the people that have been apprehended that were actually on the terrorist watch list. So that's another element where we know that people had been apprehended that were actually on the FBIs terrorist watchlist. That number is outpacing last year's record.

So far this year, border agents have stopped 69 people between the ports on the FBI terror list, bringing the total now to 182. That's just - since 2021, only eight people were apprehended who were on the terrorist watch list, between 2017 and 2020, for three years, Congressman. So I guess, potential terrorists and criminals are figuring out that America's borders wide open, I'll get in that way.

GIMENEZ: Look, even the Chief and I got to give him - I got to give him kudos for his courage. He told us that out of nine sectors that he controls - the Custom and Border Protection agents, you know - have five of them are out of control. He has no operational control on five of the nine sectors in our Southern border, which is in direct contradiction to what Secretary Mayorkas has been telling us for two years that, no, the border is under control.

The Chief in charge of all those agents has said and told us under oath, that five of those sectors are out of control. So basically - no, not basically, the Secretary has been lying to us for the last two years.

BARTIROMO: So do you want him impeached?

GIMENEZ: Oh, yes. No, no, I mean, you know, the Secretary is a disaster, the border is a disaster. You know, he's appointed by President Biden. He should remove him. But I believe that actually he's doing President Biden's bidding. So I think President Biden is really happy what's going on at the at the border.

Because another question that I asked is, you know, is the President dumb, is the Secretary Mayorkas - are they dumb? The answer was no. And I don't believe they are dumb. And so they've been told over and over again, the things that they have to do in order to control the border. They refuse to do it, which means they want to do it on purpose. So this is all done on purpose. The reasons why they're doing it on purpose, I don't know.

And by the way those terrorists that we know we got they were apprehended. How many terrorists are actually getting through that - that are gotaways. If you're a real terrorist, I don't think you really want to go and get apprehended, I think you want to get away. So whatever that number is over 89, 90 that we have apprehended, you can probably triple that on the gotaway side, at least

BARTIROMO: Well, I mean, look, there's also the China component, because now Communist China is not just abusing our visa process, but they're actually sending individuals in - through the Southern border.

I spoke with the founder of the Atlas Organization, Jonathan Ward earlier on Xi Jinping's upcoming meeting with Vladimir Putin. Here's what he said.

(BEGIN VIDEO CLIP)

JONATHAN D.T. WARD, ATLAS ORGANIZATION, FOUNDER: Xi Jinping is on his way to, you know, have another round with Putin on their comprehensive strategic partnership of coordination for a new era. I mean, this is a deep relationship, as we've talked about for a long time. It's very clear whose side China's on.

And you add this to Xi Jinping's own very recent speeches where he's talking about U.S. containment and suppression of our country and that sort of thing. And his foreign minister talking about how we're on a path to conflict. I mean, it's very clear what they're doing. I'm in Russia, China axis is forming. This has been about a decade in the making.

(END VIDEO CLIP)

BARTIROMO: Congressman Gimenez, you're also a member of the House Select Committee on the Strategic Competition Between the U.S. and China. There's an op-ed this morning out from Fred Fleitz. And he says, "Chinese officials knowingly permitted COVID-19 virus to spread around the world." State competitors don't deliberately spread deadly viruses. This president will not call China an adversary, keep calling him a competitor.

GIMENEZ: No, we - look, our Select Committee says competitor. But no, they're an adversary. Look, a competitor is somebody who's playing the same game by the same rules. China doesn't play by the same rules. They don't they don't follow the rules. So that's an adversary in my estimation.

And they're - you know, I'm going to be proven right, they totally are an adversary. They are not - what China does is not in the best interests of the United States. We need to decouple from China as quickly as possible. We need our allies to decouple from China as quickly as possible, because we're actually feeding this monster, feeding the dragon that wants to devour us. And we better wake up.

Good thing is I think we've woken up. And I think our allies are starting to wake up to about to the reality of what

China really is. And the threat that the Chinese Communist Party poses not only to United States, but to the rest of the free world.

BARTIROMO: Well, some of us may have woken up, but it doesn't appear that this administration has, because if so they would change policies to set the tone for corporate America. Well, corporate America still wants money - yes.

GIMENEZ: Well, there may be a reason for that. And I think, you know, our Oversight Committee with Representative Comer is going to be digging into, why is the President so soft on China? And could it be that that he has interests and his family has had interest and has been paid for - and paid by the Chinese Communist Party and other nations?

BARTIROMO: Congressman, thank you. Carlos Gimenez. We'll be right back.

(COMMERCIAL BREAK)

BARTIROMO: Welcome back. Microsoft is adding ChatGPT technology to its Office software. Cheryl Casone with the details now. Cheryl.

CHERYL CASONE, FOX BUSINESS NETWORK CORRESPONDENT: Maria Microsoft CEO Satya Nadella tweeting about the new AI add-on, saying, "With Microsoft 365 Copilot, we're giving people more agency and making technology more accessible with advanced AI and the most universal user interface natural language."

Well the new AI features named Copilot are going to be available in Microsoft 365's most popular business apps that will include Word, PowerPoint and Excel. However, Microsoft added the quote "Sometimes Copilot will be right, other times usefully wrong. Usefully wrong. All right, let's take a look at Microsoft in the pre-market. The stock is up almost half a percent.

Well, California is planning to ban food additives found in candy like Skittles, Sour Patch Kids, even some baked goods. If the bill becomes law, food including brominated vegetable oil, potassium bromate, dye Red 3 and more will have to change their formula or not be allowed for sale within the state of California and within those wonderful candies.

Well Assemblyman Jesse Gabriel who represents part of L.A. filed this bill in an effort to curb the use of these additives that are linked to cancer and other ailments. Of course the plan here hopefully is that the rest of the country will pick up where California maybe start this conversation.

All right. And then there's this, a New York City supermarket now forced to use facial recognition software to deal with out of control theft. Fairway supermarket using the technology amid a wave of shoplifting that is slamming the city. A store spokesperson saying quote, "This technology is helping our stores reduce retail crime and industry wide challenge that has increased dramatically over the last few years."

While the store has signs letting shoppers know Fairway is collecting their biometric information, some shoppers say it's kind of like Big Brother. Maria, full disclosure, I do shop at Fairway. I will have a full report next week, because I'm going to go later today. So we'll see how this goes for me.

BARTIROMO: That will be our indicator when you go to Fairway and report back.

CASONE: I'll be waving the cameras.

BARTIROMO: All right, Cheryl. Thanks. Well, the Federal Reserve's March meeting is happening and it is upon us. It is kicking off on Tuesday. It'll be a two day meeting, Tuesday and Wednesday. We have questions about whether or not we're going to see an interest rate hike following this week's bank fallout.

Joining me right now to assess it all after a wild week is the Founder of the Satori Fund. He's Portfolio Manager

there. Dan Niles is with us. And Dan it's great to see you. Thanks so much for being here.

DAN NILES, SATORI FUND FOUNDER & PORTFOLIO MANAGER: My pleasure Maria.

BARTIROMO: I want you to give us your assessment of the fallout around the collapses of these banks. But first, let's start on the Federal Reserve. Are you expecting a hike next week?

NILES: I absolutely expect a hike. I think, if you look at what happened this week, the ECB on Thursday, they went ahead and hiked 50 basis points anyway and that's with all the issues we know with Credit Suisse. And so the bank's really got two things they're trying to deal with, the Fed as well as central banks around the world.

As trying to deal with bank stability on the one hand, and so they're using the regulatory powers and their lender of last resort ability to try to stop that. But at the same time, the ECB is raising rates, because they're having to deal with high inflation. And so that's the monetary side of their mandate. And so those two things have to come together.

And so that's what I think we tweeted this out on Friday that the Fed raises by 25. But then it says, you know, we're very data dependent going forward. And so they show that they're still trying to fight inflation, but they're aware of what's happening in the financial system. And obviously, you saw a big rally in the markets despite that, with the ECB raising rates 50 basis points, the market was up, you know, in the U.S. almost 2 percent.

BARTIROMO: Yes, yes. Well, look, I mean, we have this Bank Term Funding Program, that seems to be a success. Banks pulled nearly 12 billion out of that through Wednesday. But here's a note this morning from BMO Capital Markets, and he says the Bank Funding Program was tapped for only 12 billion.

But before you get excited thinking that this was going to be a huge positive for the regional banks on the notion that they didn't need much, it seems banks use the discount window instead to the tune of 150 billion. Then tack on what the FDIC borrowed, 143 billion to support the deposits of Silicon Valley Bank and Signature, it's a total of 300 billion needed to support the banks through this episode.

Now, Dan, we've talked about owning the banks before, what are you doing in terms of allocating capital? I saw the other day that you were buying some oil stocks. But do you have concerns around the banking system right now?

NILES: Absolutely, I mean, if you go back to late last year, we thought this would show up in the private equity world first and you've seen some redemptions, there were companies can't meet the amount of redemptions that you're seeing in the real estate space. And coming out of last year, you had 620 billion in unrealized losses sitting on bank balance sheets, and just the U.S. alone against a capital base of 2.2 trillion. And then in Europe, you have about 200 billion in unrealized losses.

So you know, we fully expected stresses in the system. This got pulled for a lot faster than we thought. As you know, our target for the S&P this year has been 3,000. We thought that would happen in the back half of the year. But I think for right now, this puts a band aid on the wound.

But don't forget what is the cause of the problems. The cause of the problems is we had ultra-low interest rates ever since the global financial crisis, so for 13 years. Now we have high inflation, that's still here, we're still having to fight with that. And don't forget China's opening up again. After three years, we're locked down, we saw what happened in the U.S. and the rest of the world last year, when we all open from a lockdown. They're going to have a lot of inflation in the back half of the year. So I don't think - I don't see this problem going away. I see this continuing until inflation is gone.

BARTIROMO: So how are you investing, having said all of that, Dan. You were spot on earlier in the year in terms of where to place money. But these concerns rising that there's a bank crisis, and that's going to hurt technology commercial real estate. I spoke with the Wall Street Journal's Chief Economics Correspondent Nick Timiraos earlier in the program. Here's what he said. Watch.

(BEGIN VIDEO CLIP)

NICK TIMIRAOS, WALL STREET JOURNAL'S CHIEF ECONOMICS CORRESPONDENT: When the tide goes out, you begin to see who's swimming naked here. And so that's I think the big question now is, where is the pain going to be in the financial market? What other little air pockets are we getting to hit where something's just going to go zap, and who's going to be exposed to that? And so I think that does change sort of the risk management framework for investors, but also for the Federal Reserve here.

(END VIDEO CLIP)

BARTIROMO: And so Dan, I want to get your take here. Always so thoughtful on how you come to your decisions about how to allocate capital. What do you think in terms of this backdrop, and how are you allocating capital right now?

NILES: Sure, I mean, we talked about this on - tweet on Friday. But we went into the middle of last week short, a series of financials and that included - it was a basket of names that included Silicon Valley Bank, Signature Bank, First Republic. We covered all those shorts on Friday, figuring there'll be a bounce. And the reason why it was - our view was that, there was going to be something done to save the banks and you'd see a short term bounce.

And, you know, I've lived through the Lehman crisis. I remember all the false rallies we had. But our plan is to put those shorts back on. It's not to take them off, because I think this is just the beginning. And as you remember, with the financial crisis, you know, it was a series of stops and starts along the way until you got to the ultimate bottom.

So for us, we wouldn't touch, you know, any of the banks. You know, they're going to bounce, right, they're going to move around every day, because of what you see happening. But I would stay away from that.

And the other issue is that with technology and earnings season coming up, the banks are one of the biggest spenders in the tech space. Out of 4.4 trillion in technology spending, the banks account for 15 percent of that. So it is a very large number, and this is happening towards the end of the quarter. So I think you're going to have a pretty rough earning season.

And so from our perspective, you know, earnings have to go down even further than we thought now, because with all the banks stress lending standards went up a ton. So even though the Feds may be going only going to raise 25 basis points, the lending standards are probably tightened by 50 to 100 basis points, because all the banks are now fighting to make sure they're liquid, they're solvent, and they got to cut as much expenses as they can to make sure they're in good shape.

So what we liked and we talked about this is, we're invested in commodity, so we bought some oil, we bought some copper related stocks, some aluminum, et cetera. And then we also bought some sports gambling companies where they're really - the good news is, for all the guys that aren't profitable, this is going to cut off their access to capital.

And so for the two big guys, which is DraftKings and FanDuel, they're going to do very well in this environment and they should get to profitability later this year. They're the biggest, they're taking market share. And we're - that's how we're thinking about this.

So our plan is to put all those shorts back on that we covered, you know, back on Friday. We got this nice little bounce, you know. 4,100 is the highest. I can see this going in the S&P. We talked about that before. And you know, that's how I would play this through the end of the year.

BARTIROMO: Yes, I mean, look this market is at the lows of the morning right now. The regionals are down across the board. Dow Industrials now down 270. Obviously, the weakness and the worries are accelerating. As by the way, Bitcoin is up this week. Head scratcher there, Dan, thanks very much. We will see you this weekend on Wall Street.

Maria Bartiromo's Wall Street tonight, 7pm Eastern. Dan Niles, good to see you. We'll be right back.

(COMMERCIAL BREAK)

BARTIROMO: Welcome back. All 1,900 feet of train tracks now removed from the site of the East Palestine train derailment. This happening more than a month since the toxic spill there. Ohio's Attorney General was filing a lawsuit against Norfolk Southern, seeking civil penalties, costs and damages after the hazardous waste contaminated air and water in nearby areas.

Joining me right now is Ohio's Attorney General David Yost. AJ thanks very much for being here. What do you want to say about your lawsuit?

DAVID YOST (R) OHIO ATTORNEY GENERAL: This is designed to make sure that Norfolk and Southern actually lives up to their promises, now and in the future. Most of us remember the burn pits and Operation Desert Storm, 9/11 and how there were health effects and long term impacts that we didn't even know about for quite a long time. This lawsuit is designed to not only hold them accountable, but make sure that they remain accountable in the future.

BARTIROMO: So what would you like to see in terms of the people of East Palestine? I mean, they are still worried that things are not safe.

YOST: Right. And we're still developing information, right? I mean, we don't know exactly the extent of these impacts. The Governor DeWine and I have talked about this. One outcome that I would like to see and the governor would like to see is some kind of a fund - a long-term fund that is set up to insure against those kind of unknown unknowns that are sure to develop.

BARTIROMO: Ohio Senator J.D. Vance is slamming the EPA's response to cleaning up the toxic waste in East Palestine in a Senate hearing last week. Watch this.

SEN. J. D. VANCE (R-OH): Right now, as we speak, there are piles of dirt accumulating in East Palestine. Piles of dirt filled with toxic chemicals that haven't been moved out of the state in a week. What happens if it rains? What happens if the very toxic dirt that we just dug out of the ground begins to seep back into the ground, causing problems for the air and water for the residents of East Palestine?

(END VIDEO CLIP)

BARTIROMO: Your reaction?

YOST: Oh, he's right. We were seeing the contaminated water with contaminated soil shipped out of state admittedly, but to facilities that were permitted by the EPA. They have their permits, and they're all approved with their process and their site to dispose of this sort of thing.

Well, local politicians started rearing up on their hind legs and bleating about how unfair that was. And instead of the EPA saying, look, we've got this, there's been a robust process to make sure that these people - these companies can handle this. It's been there for years. We're moving forward. They got chicken legs, and shut the thing down for days. It's - and the Senator was right. It was just sitting there on the ground, and we're approaching the rainy season.

BARTIROMO: All right, AJ, thanks very much. We'll be watching your work on this. (inaudible) is joining us this morning. We will see you soon. We'll be right back. Stay with us.

(COMMERCIAL BREAK)

BARTIROMO: Welcome back. We are 30 minutes away from the opening bell and we are now looking at the market

at its lows of the morning. The Dow Industrial is down 290 right now. The NASDAQ is down 36, and the S&P lower by 30.

We know that SVB has officially declared bankruptcy and the whole host of banks have gotten together to prop up First Republic with $30 billion in deposits. Nancy, your final word?

TENGLER: Well, Maria, I just want to say this is a very complex time of course. But ironically, often the best times to get into the markets are when things are the bleakest. Matters what you own, matters who runs the company. Happy St. Patrick's Day.

BARTIROMO: Yes. Happy St. Paddy's day. Lee, final word.

LEE CARTER, MASLANSKY + PARTNERS PRESIDENT: Look, more than half of Americans are more concerned today about the economy than they were just a week ago. This volatility has put a lot of fear into investors. And so, it's not going to be enough for government to tell us that everything's fine. It's not, in the investors' minds, and so there's going to be need - needs to be some real change and some real addressing of the people's concerns.

BARTIROMO: Yes, well, we'll be watching that. Of course it's going to be a busy weekend. Dow Industrial is down 300 points right now with the opening bell about an hour away. Nancy Tengler, and Lee Carter, great to see you both and to be with you this morning.

Join us tonight for "Maria Bartiromo's Wall Street." We have a big show looking ahead to next week, and it will be a big one with the Federal Reserve's two day meeting, beginning Tuesday and Wednesday. We're expecting a hike in interest rates of 25 basis points.

Have a great weekend everybody. Bye

END

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